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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Pitched Into a Ditch?

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Last Week's S&P 500 Index:
1.5%

Key Takeaways

» *The collapse of government coalition talks in Germany appears to be threatening political stability and the economic recovery across the Eurozone and Europe.*

» *We believe that the breakdown in coalition talks presents a low risk to the Eurozone economy and financial markets and expect a government to be formed sometime next year.*

Last month, events in Germany turned what was supposed to be a sleeper of an election outcome into one of heightened political uncertainty after three-way coalition talks between Angela Merkel's Christian Democratic Union/Christian Social Union (CDU/CSU), Green, and Free Democratic Party (FDP) collapsed. Some investors have even speculated that the breakdown in German politics could upend the broad recovery in the Eurozone economy. While the turn of events in German politics was initially a point of concern for this analyst, a closer examination of the current events suggests that the worst is not yet to come.

First, one reason for the collapse in coalition talks a few weeks ago had more to do with a young politician trying to make his mark on German politics than from a lack of compromise. FDP leader Christian Linder pulled his party out of government negotiations on November 21 to the surprise of other coalition participants heavily invested in talks. Linder cited one reason for this action as to avoid being seen as a puppet to Merkel's government. By many measures talks were only at the halfway mark and expected to go until at least the end of the year. By abruptly ending talks the way he did, Linder's action suggests that the FDP was never committed to legitimate negotiations in the first place.

Second, German SPD party leader Martin Schulz announced on Monday that efforts to form a "grand coalition" could get the go-ahead as soon as this week. CDU/CSU and Social Democratic Party (SPD) had governed together in a two-party coalition between 2013 and 2017. For a number of reasons, SPD had initially decided against forming a coalition with Merkel's party this year. Yet, faced with the specter of being punished at the polls (again) to the benefit of the FDP and Alternative for Germany (AFD) parties, SPD party leaders now have an incentive to compromise with Merkel rather than challenge her as an opposition party. The onus will now be on the SPD to effect its sought-after political change from inside, rather than the outside, the government.

These two points underscore our belief that that the latest bout of political uncertainty will not necessarily lead to political upheaval in Germany or more broadly across Europe. Our view is in sympathy with the financial markets, as the longer-term trends in the euro, rates, and equity markets have largely remained intact, in spite of the latest bout of European politics. We believe that German politicians will likely make compromise a priority as they have for over 60 years. So long as this tenet holds true, we believe that the Eurozone economic recovery will not be pitched into a ditch.

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